

explains a lot more of why I have made money in my career. It was not so much about my being right on the direction of the market as it was that when they were giving me money, I was always taking it, on a daily basis.

So even though today was only the first day of a downmove, you still took money off the table?

I took half of my capital off today. If the market bounces, I will short the rebound for sure.

If the market bounces, that's easy—you just replace the shorts you covered. But what if the downtrend you were anticipating continues tomorrow?

If it's lower, then I will just be buying back more stock. I don't mind if I miss a move down because the market will always have a move that I can re-enter if I really feel like it. I am never afraid of missing anything. The market is always providing opportunities.

So it doesn't bother you if you end up getting back in at a worse price than you got out.

All I think about is making money; not being right.

[Zach speaking to Jimmy.] Something that you said that always made sense to me is, "I never need to make money in a stock where I lost it."

[Jimmy continues.] Early in my career, I had more of a tie to stocks. Now, I couldn't care less where I am making money. I don't have any vendettas [a long pause] anymore [he laughs].

But you used to?

Yes, for sure.

How did you learn to give it up?

I just got tired of fighting. Losing all that money being short homebuilders was the biggest blessing because it led to me looking at my life in a different way. Why am I making life so much harder on myself? It could be so much easier. There is something wrong when I start feeling that uncomfortable. Whereas before I would dig in my heels, I'm not willing to go there anymore. Now, when a trade feels painful, I start